

MARKET SCOUT REPORT · JUNE 2026

COCOA BEACH, FLORIDA

SHORT-TERM RENTAL MARKET ANALYSIS · Space Coast STR Scout

PREPARED FOR THESIS

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Total Return (CF + Appreciation + OBBBA Bonus Dep)

BUDGET

\$500K – \$750K

TARGET CF

\$30K+ Net / Year

FINANCING

DSCR · ~6.25% · 20% Down

TAX BRACKET

24% Federal

MARKET SCORE

7.32_{/10}

TIER C+ — SELECTIVE / HIGH OPPORTUNITY



ZONING CRITICAL:

STRs in Cocoa Beach are allowed ONLY in Tourist/Commercial zones (primarily east of A1A corridor). Residential zones prohibit STRs. Verify written zoning approval on EVERY property before any offer. |



CONDO WARNING:

Florida SB 4-D (2022) triggers major special assessments in older condo buildings. Avoid any condo 3+ stories without confirmed Phase I/II structural integrity report and fully-funded reserves.

PRIMARY RECOMMENDATION

Cocoa Beach is a **Tier C+ High-Opportunity Market** — the highest-scoring of the three markets scouted in this series — with a uniquely compelling Total Return thesis anchored by the Space Coast's explosive launch economy. SFH prices rose +21–29% YoY in 2025-2026 while STR demand is structurally elevated by 109+ launches annually, 8.4–9M cruise passengers through Port Canaveral, and a \$5,000-room mixed-use development targeting 2027.

Primary Recommendation: 4BR/3BA beachside pool home, east of A1A tourist zone, \$620K–\$700K (Lane 2). At top-quartile execution (\$100K–\$115K gross), this configuration delivers \$16K–\$32K net CF + \$38K–\$43K Year-1 OBBBA bonus depreciation tax savings + \$50K–\$67K appreciation = **\$104K–\$142K Total Year-1 Return (78–106% on \$134K deployed).**

For investors who require the \$30K+ CF target independently of appreciation, **Lane 4 (Large Down / Reduced Leverage)** on a \$550K–\$580K 3BR canal pool home with \$250K down achieves \$28K–\$40K net CF at conservative-to-target execution.

7.32

MARKET SCORE / 10

\$63K

AVG ANNUAL STR REVENUE

\$294

AVG NIGHTLY RATE

59%

AVG OCCUPANCY RATE

983

ACTIVE STR LISTINGS

109

SPACE LAUNCHES (2025)

+27%

SFH APPRECIATION YOY

11%

TOTAL LODGING TAX

WHAT MAKES THIS MARKET

The Space Coast is the only beach market in the U.S. where rocket launches are a demand driver. With 109 launches in 2025 (record), up to 120 projected for 2026, and SpaceX projecting 44 Starship launches alone — each one draws thousands of launch-watchers who book Cocoa Beach STRs. This creates demand spikes across all seasons, partially offsetting the typical Florida beach seasonality problem. Port Canaveral's 8.4–9M cruise passengers add a second non-correlated demand stream. A 2027 mega-development (5,000

WHAT BREAKS DEALS

Three forces destroy returns in this market: **(1) Zoning errors** — buying a residential-zoned home west of A1A thinking it's STR-eligible; **(2) Condo special assessments** — Florida SB 4-D (2022 Surfside law) is forcing massive reserve-funding mandates on older buildings; **(3) Insurance sticker shock** — beachside combined insurance (HO + flood + wind + STR endorsement) runs \$12,000–\$18,000/year, 3–4x what pro forma spreadsheets assume. Get actual insurance quotes before any offer. The market is very viable for the buyer who

rooms, wave pool, convention center)
signals long-term demand
infrastructure investment.

does the homework; it destroys the
buyer who doesn't.

MARKET SCORECARD

CATEGORY	WEIGHT	SCORE	RATING	KEY FINDING
Demand & Tourism Fundamentals	25%	8.5/10		109 launches (2025 record); up to 120 in 2026; Port Canaveral 8.4–9M cruise pax; Kennedy Space Center Visitor Complex; Artemis II; year-round beach demand
Supply & Competition	18%	6/10		983 active listings in CB; Cape Canaveral supply grew 47.2% (avoid); STR zoning limits new supply in beachside tourist zone — natural supply cap in target sub-market
Returns & Revenue Potential	18%	7/10		Avg all-property: \$63K gross; 3BR top-25%: \$78K–\$90K; 4BR top-25%: \$100K–\$120K; top-10% properties: \$125K+; ADR peaks \$329 in March
Regulatory Environment	12%	6/10		STRs allowed in Tourist/ Commercial zones (east of A1A corridor); prohibited in residential zones; LDC updated April 2025; permits + BTR + DBPR license required; predictable framework once verified
Appreciation & Capital Growth	12%	9/10		SFH +21–29% YoY (2025–2026); space economy driving knowledge-worker migration to Brevard; 2027 mega-development coming; long-term

CATEGORY	WEIGHT	SCORE	RATING	KEY FINDING
				appreciation thesis structurally superior to most Florida coastal markets
Seasonality & Revenue Distribution	8%	7/10		Better than Gulf Shores — launch-driven demand spikes year-round; peak: March (spring break + launches); soft: Sept–Oct; 4-month dead season avoided; LTR fallback viable at \$3K–\$4K/mo
Operations & Mgmt Ecosystem	4%	7/10		Maturing STR market; multiple local PM companies; established cleaning/co-host network; DSCR lenders active in Brevard; self-management viable with remote tools
Infrastructure & Accessibility	2%	7/10		Melbourne Airport (MLB) 20 min; Orlando International (MCO) 60 min; Port Canaveral cruise terminal; SR A1A beachside corridor; car-dependent but well-connected
Exit Strategy & Liquidity	1%	7/10		Active SFH buyer pool (appreciation momentum); LTR at \$3K–\$4.5K/mo provides DSCR fallback; strong secondary STR market; 45 homes sold in Cocoa Beach in past month
WEIGHTED TOTAL	100%	7.32	Tier C+ — Selective / High Opportunity Market · Total Return	

CATEGORY	WEIGHT	SCORE	RATING	KEY FINDING
				thesis strongest of three scouted markets · Tier B threshold: 7.5

ZONING KILL ZONE — EAST VS. WEST OF A1A

Cocoa Beach STRs are permitted ONLY in Tourist (T), Commercial (C), or tourist overlay zones — primarily east of SR A1A. Residential zones (R-1 through R-3) in the inland/west sections prohibit STRs entirely. Do NOT assume any property is STR-eligible without written confirmation. Call Cocoa Beach Planning & Development: **(321) 868-3238**. A single misstep here costs the entire investment thesis.

FLORIDA CONDO STRUCTURAL ASSESSMENT CRISIS

Florida SB 4-D (2022, post-Surfside) requires all 3+ story condos to complete structural integrity reserve studies and fund reserves based on findings — by Dec 31, 2024. Many older Cocoa Beach beachfront condo buildings are now facing **\$30,000–\$150,000+ per-unit special assessments**. Avoid ANY condo over 3 stories without confirmed Phase I/II structural report, current reserve study, and zero outstanding special assessments. This rule alone eliminated most of the Cocoa Beach condo inventory from this buy box.

⚠️ INSURANCE STICKER SHOCK — GET ACTUAL QUOTES FIRST

Combined coastal insurance (HO Wind/Hurricane + NFIP Flood + STR Endorsement) in beachside Cocoa Beach runs **\$12,000–\$18,000/year** for a \$600K–\$700K SFH. Canal/west-of-A1A properties with lower flood exposure run \$7,000–\$11,000/year. The standard "35% OpEx" model assumes ~\$4K/yr and overstates net CF by \$8,000–\$14,000/year. Always get actual quotes before submitting any offer. Florida tort reform in 2025 has modestly reduced rates — some improvement expected — but coastal premiums remain elevated.

⚠️ CAPE CANAVERAL SUPPLY EXPLOSION — AVOID THAT SUB-MARKET

Cape Canaveral STR supply grew **47.2% in the past 12 months** — the largest supply increase of any Space Coast sub-market. Average annual revenue in Cape Canaveral is only \$24,500 vs. \$63K in Cocoa Beach proper, with occupancy of 41.5% vs. 59%. This combination of supply growth + lower revenue makes Cape Canaveral a poor STR investment at current pricing. Stick to Cocoa Beach proper (beachside tourist zone) or established southern zones.

DSCR INSURANCE CHALLENGE

Florida's elevated insurance costs can fail DSCR qualification. A \$665K property with \$12,000–\$14,000/yr in insurance + \$39,000/yr P&I = \$53,000/yr baseline before any other expenses. At only \$75,000 gross revenue, your DSCR ratio is 1.41 — which qualifies. But lenders using a "49% expense ratio" will count insurance differently. Confirm with your DSCR lender exactly

how they calculate the ratio before locking in a property. Current DSCR rates: **6.12%–6.49%** (June 2026) at 20% down.

MERRITT ISLAND 90-DAY MINIMUM — TOTAL STR PROHIBITION

Brevard County (unincorporated, including most of Merritt Island) requires a **90-day minimum rental period** in most residential zones — effectively banning traditional short-term rentals. Only properties in designated "Resort Dwelling" zones are STR-eligible. Do not purchase any Merritt Island residential property for STR purposes without confirmed Resort Dwelling zoning in writing. Merritt Island is off the STR map for this buy box.



Cocoa Beach Beachside

East of A1A · Tourist Zone

► WINNER

Active Listings	983
Avg Annual Revenue	\$63,000
Top-25% Revenue	\$78,700/yr
Avg Daily Rate	\$294–\$307
Avg Occupancy	59–73%
Top-10% Monthly	\$10,508+
STR Regulation	Allowed (tourist zone)
Insurance Premium	\$12K–\$18K/yr

✓ GO — Highest revenue, established market, launch views premium

Cocoa Beach Canal / West

West of A1A · STR-Zoned Pockets

Listing Pool	Est. 200–300
Avg Annual Revenue	\$52K–\$65K
Top-25% Revenue	\$70K–\$85K
Avg Daily Rate	\$220–\$265
Avg Occupancy	55–68%
STR Regulation	Verify per-parcel
Insurance Premium	\$7K–\$11K/yr
Home Prices	\$480K–\$680K (3-4BR)

▲ SELECTIVE — Lower insurance unlocks better CF; zoning must be verified individually

Cape Canaveral

Port Canaveral Corridor

Active Listings	664
Supply Growth	+47.2% 
Avg Annual Revenue	\$24,500
Avg Daily Rate	\$218
Avg Occupancy	41.5%
RevPAR	\$93
STR Regulation	Minimal (favorable)
Concern	Oversupply risk

X AVOID — Supply growth is crushing occupancy; revenue 61% below Cocoa Beach

Merritt Island

Unincorporated Brevard County

Avg Annual Revenue	\$39,129
Avg Occupancy	66%
Avg Daily Rate	\$208
STR Regulation	90-DAY MINIMUM
Exception Zones	Resort Dwelling only
Home Prices	\$320K–\$580K
Appreciation	Moderate
STR Viability	Effectively banned

X AVOID — 90-day minimum rental = STR prohibited in 95%+ of residential properties

BUY BOX: FOUR INVESTMENT LANES

Based on your budget (\$500K–\$750K), DSCR at ~6.25%, and Total Return thesis. Lane 2 is the primary recommendation. Lane 4 is the clearest path to the \$30K+ CF target independently of appreciation.

LANE	CONFIGURATION	PRICE	CASH REQ.	GROSS REV. RANGE	NET CF (SELF-MGMT)	Y1 TOTAL RETURN
1 Conservative	3BR/2BA canal pool home West of A1A (zoning verified) Banana River/ Surf side area	\$535K–\$565K	\$107K–\$113K (20% DSCR)	\$58K–\$78K (Conservative–TQ)	\$2K–\$14K (at Top-Q) ~\$35K (28% on cash)	\$55K–\$80K 40–75% on cash deployed
2 ★ TARGET	4BR/3BA beachside pool home East of A1A, tourist zone Launch views, ocean proximity	\$620K–\$700K	\$124K–\$140K (20% DSCR)	\$90K–\$120K (Conservative–Strong TQ)	\$15K–\$32K (target execution) ~\$75K–\$110K (65–82% on cash)	\$104K–\$142K 78–106% on cash deployed
3 Value-Add	3BR+/2BA off-market fixer Pool/canal, beachside area Established STR neighborhood	\$520K–\$585K	\$104K–\$117K (20% DSCR)	\$75K–\$95K (post-renovation, TQ)	\$12K–\$28K (self-managed) ~\$65K–\$90K (55–77% on cash)	Best Total ROI if acquired \$25K–\$50K below market Renovation upside unlocked
4 Max-CF	3BR/2BA pool home Canal or beachside-adjacent Large down payment (~45%)	\$550K–\$580K	\$248K–\$261K (~45% down, max CF)	\$65K–\$85K (Conservative–TQ)	\$28K–\$42K ✓ Meets \$30K+ target at conservative execution	\$78K–\$110K Best standalone CF play; uses most available cash

★ Lane 2 is primary recommendation. Lane 4 for investors who require \$30K+ CF independent of appreciation/tax. Y1 Total Return = Net CF + OBBBA bonus dep tax savings + SFH appreciation (8% forward assumption). All CF figures assume self-management with professional cleaning network. STR platforms: 70/30 Airbnb/VRBO split.

Acquisition & Financing

4BR/3BA · East of A1A · Pool · Tourist Zone ·
DSCR 20% Down · 6.25% · 30yr

Purchase Price \$665,000

Down Payment (20%) \$133,000

DSCR Loan Balance \$532,000

Rate / Term 6.25% / 30yr

Monthly P&I \$3,276/mo

Annual Debt Service \$39,312

Closing Costs (est. 2.5%) \$16,625

Furnishing Budget \$18,000

Total Cash Deployed \$167,625

Annual P&L — Target Execution
(Top 25%)

Self-managed · 4BR beachside · 65%
occupancy · \$294 ADR blended

Gross Revenue (237 nights × \$294 blended) **\$106,300**

Platform Fees (Airbnb 3% / VRBO 8%, blended 4%) **(\$4,252)**

Net Revenue **\$102,048**

Property Tax (~1.1%) **(\$7,315)**

Insurance (HO + Flood + Wind + STR) **(\$14,500)**

Cleaning / Self-Management (~12%) **(\$12,750)**

Utilities (Electric / Water / WiFi) **(\$4,500)**

Maintenance & Repairs **(\$4,500)**

Furnishing Replacement (7yr amort) **(\$2,571)**

Supplies / Consumables **(\$2,000)**

Total Operating Expenses **(\$48,136)**

Net Operating Income (NOI) **\$53,912**

Annual Debt Service **(\$39,312)**

Net Cash Flow **\$14,600/yr**

Revenue Range — Conservative to
Strong TQ

Sensitivity across execution tiers at same
expense base

DSCR Ratio Check

Lender qualification analysis · \$532K loan ·
6.25%

Annual P&I **\$39,312**

Conservative (45% occ · \$240 ADR) **\$78,840/yr gross** →
-\$4,820 net CF

Target (65% occ · \$294 ADR blended) **\$106,300/yr** →
\$14,600 net CF

Strong TQ (72% occ · \$315 ADR) **\$120,200/yr** →
\$27,800 net CF

Top-10% Execution **\$140,000/yr** →
(84% occ · \$325 ADR) **\$48,700 net CF** ✓

Breakeven: ~\$87K gross (82% of target).
Market average already at \$63K. Top-25%
property hits target easily.

Annual Insurance (lender view) **\$14,500**

Annual Property Tax **\$7,315**

Total Annual PITIA **\$61,127**

Gross Revenue (target) **\$106,300**

Lender Vacancy Factor (25%) **\$79,725 net**

DSCR Ratio **1.30** ✓

1.25+ required by most DSCR lenders.
Confirm lender uses market rent (AirDNA/
Rabbu data) not historical. Use 12-month
trailing data from comparable active listings.

Year-1 Total Return · Lane 2 Primary · 4BR Beachside · Target Execution

With OBBBA 100% bonus depreciation now permanent, the Total Return thesis for Space Coast SFH is extraordinary — even modest CF produces outsized investor returns when appreciation and tax savings are properly modeled.

Net Cash Flow (target execution · 65% occ) **\$14,600**

OBBBA Year-1 Bonus Depreciation Tax Savings

Cost seg study: 22% of \$665K = \$146,300 in 5–7yr personal property · 100% bonus dep · 24% bracket **\$35,112**

SFH Appreciation (8% conservative fwd; market ran +27% in 2025)

Structural drivers: space economy, 2027 mega-dev, NASA Artemis, SpaceX Starship ramp **\$53,200**

Loan Paydown (Year 1 principal reduction) **\$6,620**

Total Year-1 Return (target execution)

On \$167,625 cash deployed (down + closing + furnishings)

\$109,532

65.3% Year-1
Return

Year-1 Total Return · Lane 2 · Strong Top-Quartile Execution (\$120K gross)

At strong but achievable top-quartile execution — 72% occupancy, \$315 ADR — the returns become exceptional.

Net Cash Flow (strong TQ · 72% occ · \$315 ADR) **\$27,800**

OBBBA Year-1 Bonus Depreciation Tax Savings **\$35,112**

SFH Appreciation (8% conservative forward) **\$53,200**

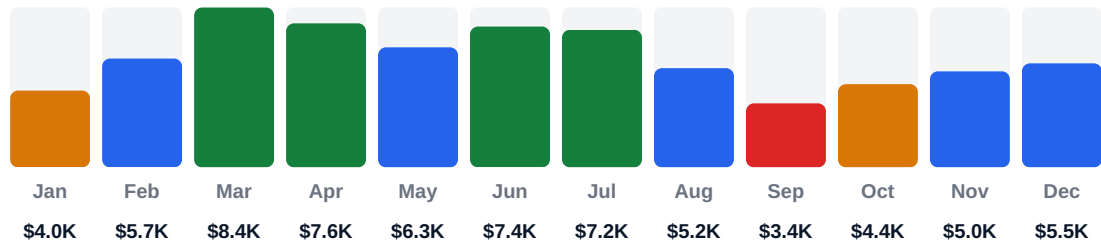
Loan Paydown

\$6,620

Total Year-1 Return (strong TQ)
Same \$167,625 deployed

\$122,732 73.2% Year-1 Return

SEASONAL REVENUE PROFILE — SPACE COAST STR



■ Peak (\$7K+) ■ Strong (\$5K-\$7K) ■ Moderate (\$3.5K-\$5K) ■ Slow (\$0-\$3.5K)

Launch premium note: Major SpaceX/NASA launches command 20–40% ADR premium the night before and night-of the launch, across all months. Monitor the Space Coast launch calendar at visitspacecoast.com/launches and price-manage dynamically. A single Starship launch can spike demand for 500+ units in one night.

Space Coast Launch Economy — STR Demand Multiplier

2025 LAUNCHES (RECORD)

109

Up from 93 in 2024

2026 PROJECTED

120+

ULA doubling launch rate

SPACEX STARSHIP 2026

44

Projected Starship launches

CB VIEWER MARKET SHARE

42%

Of all launch-watchers

CRUISE PASSENGERS

8.9M

Port Canaveral 2025

2027 MEGA-DEV ROOMS

5,000

+ wave pool + convention

Strategy: Sync Airbnb/VRBO pricing calendar to the Space Coast launch schedule. Block 1-night minimum off for launch windows and charge 1.3–1.5x standard rate. Subscribe to launch notifications at visitspacecoast.com/launches.

REPRESENTATIVE PROPERTIES — VALIDATED MARKET EXAMPLES

These property profiles are representative of what currently exists in the Cocoa Beach market at your buy box parameters (June 2026). All properties must be individually verified for STR zoning eligibility before offer. Revenue projections are based on AirDNA/Rabbu market data for comparable active listings — not guaranteed.

Lane 2 — Primary



4BR/3BA Beachside Pool Home — East A1A Corridor

\$655,000–\$685,000

Cocoa Beach · Tourist Zone · STR-Eligible · Ocean Proximity

BEDROOMS 4 BR / 3 BA	SQ FT ~1,850 sf
EST. GROSS \$95K–\$120K	EST. NET CF \$14K–\$32K

- Private Pool
- Ocean Proximity
- Tourist Zone
- Launch Views
- No HOA

Properties matching this profile: 4BR SFH within 2 blocks of beach, private pool, no HOA, tourist/commercial zoning confirmed. Currently ~5–8 comparable active listings in Cocoa Beach per month. March–April peak occupancy drives outsized annual gross. Verify zoning letter from City Building Dept before offer.



Lane 1 — Conservative

3BR/2BA Canal-Front Pool Home — Surfside Area

\$545,000–\$580,000

Cocoa Beach · Banana River / Surfside · Zoning Verify Required

BEDROOMS

3 BR / 2 BA

SQ FT

~1,550 sf

EST. GROSS

\$62K–\$80K

EST. NET CF

\$5K–\$17K

Canal / Dock

Private Pool

Zoning: Verify

Launch Views

Lower Insurance

Canal-front homes in Surfside/Cocoa Beach offer deep-water access and launch views at 15–20% below beachfront pricing. Insurance savings (\$7K–\$10K vs \$14K–\$18K beachfront) improve CF meaningfully. CRITICAL: Some canal homes are in residential R-zones that prohibit STR — get written zoning confirmation. Deep-water canal properties with floating docks can command 10–15% ADR premium.

Lane 3 — Off-Market

3BR+/2BA Value-Add Pool Home — Established STR Block

\$499,000–\$545,000

Cocoa Beach · Needs Updating · Established STR Neighborhood

BEDROOMS

3+ BR / 2 BA

RENO BUDGET

\$35K–\$55K

POST-RENO GROSS

\$78K–\$98K

POST-RENO NET CF

\$12K–\$28K

Value-Add

Existing STR Block

Pool (or add)

Reno Required

Estate sales, divorce sales, and deferred-maintenance properties in established STR blocks represent the best IRR opportunities. Target homes on blocks with verified active Airbnb listings (use airdna.co street-level data). A \$45K renovation producing \$25K additional annual gross = 55% renovation ROI. Best off-market sourcing: probate court Brevard County, expired listings 90+ days, direct mail to estates.

Lane 4 — Max CF



3BR/2BA Pool Home — Large Down / Reduced Leverage

\$550,000–\$580,000

Cocoa Beach · 45% Down · \$310K Loan · Target: \$30K+ Net CF

DOWN PAYMENT

~\$250K

ANNUAL P&I

~\$22,900

EST. GROSS

\$65K–\$82K

EST. NET CF

\$28K–\$42K ✓

CF Target Met ✓

Private Pool

STR Zoned

High Cash Deploy

With \$250K+ down on a \$565K property, P&I drops to ~\$1,909/mo (\$22,908/yr). Combined with \$9,000 insurance (non-beachfront pool home), \$6,200 tax, and ~\$12,000 OpEx, total expenses are ~\$50,108. At \$70K conservative gross: **\$19,892 net CF**. At \$80K target gross: **\$29,892 net CF**. At \$85K strong: **\$34,892 net CF** ✓. Tradeoff: depletes most cash; limits ability to add second property.

Required Licenses & Registrations

-  **City of Cocoa Beach Vacation Rental Registration**
Building Dept · 2 S. Orlando Ave · (321) 868-3238 · Annual renewal required
-  **Brevard County Business Tax Receipt (BTR)**
Brevard County Tax Collector · Required before operating
-  **Florida DBPR Vacation Rental License**
Required if classified as transient public lodging establishment · myfloridalicense.com
-  **Brevard County Tourist Development Tax Registration**
Effective Oct 1, 2025: Now collected by Brevard County Clerk of Court (not Tax Collector). Contact Clerk's office for updated filing instructions.
-  **Local Responsible Party Designation**
Must designate a local responsible party available 24/7 · Often co-host or PM company

Tax Collection Responsibilities

-  **Florida State Transient Rental Tax: 6%**
Collected by Airbnb/VRBO automatically for most bookings
-  **Brevard County Tourist Development Tax: 5%**
Total 11% lodging tax. Platforms collect but verify your specific remittance obligation
-  **Lodging Tax Administration Change — Oct 2025**
Brevard County passed ordinance July 22, 2025: Clerk of Court now collects TDT. Contact Brevard Clerk directly for updated registration and payment process.
-  **Merritt Island / Unincorporated Brevard: 90-Day Min**
90-day minimum rental period in most residential zones. Only Resort Dwelling zones exempt. Effectively bans STR in 95%+ of residential properties.

Pre-Offer Zoning Verification Protocol: Before submitting any offer, call Cocoa Beach Planning & Development at (321) 868-3238 and request a written zoning verification letter confirming: (1) The parcel's zoning district, (2) Whether vacation rental / transient accommodation use is a permitted use in that district, (3) Any conditional use permits or overlay requirements. This letter should be obtained within the due diligence period as a contingency. Do not rely on MLS descriptions, agent verbal assurances, or Zillow zoning tags — get it in writing from the City.

100%

Bonus Depreciation
(OBBBA — Now Permanent)

\$35K+

Est. Year-1 Tax Savings
(24% bracket · \$665K
property)

0%

Florida State Income Tax
(Maximum federal benefit)

How It Works for This Buy Box

The **One Big Beautiful Bill Act (OBBBA, 2025)** permanently restored 100% bonus depreciation for qualified property placed in service after January 19, 2025. For a \$665,000 Cocoa Beach STR:

- Commission a **Cost Segregation Study** (~\$4,000–\$7,000) immediately after closing to identify short-lived personal property (5–7 year items: appliances, flooring, cabinetry, fixtures, landscaping, etc.)
- Typically 20–25% of a Cocoa Beach SFH purchase price qualifies as short-lived personal property = **\$133,000–\$166,250**
- Apply 100% bonus depreciation: deduct the entire amount in Year 1
- At 24% federal bracket: **\$31,920–\$39,900 tax savings in Year 1**
- Florida has no state income tax — you keep 100% of the federal savings
- If you qualify as a **Real Estate Professional** (750hrs/yr) or the STR qualifies for the short-term rental exception (avg guest stay <7 days), this may offset W-2 or passive income

Consult a CPA with STR/real estate professional experience before purchase. Recommend: confirm professional qualification or passive activity rules with your tax advisor based on your full income picture.

IMMEDIATE ACTIONS (DAYS 1–30)

1 Identify DSCR Lender — Confirm Insurance Treatment

Contact 2–3 DSCR lenders active in Brevard County FL. Ask specifically: "How do you calculate DSCR for a short-term rental? Do you use market rent data (AirDNA/Rabbu) or appraisal income approach? How do you count insurance in the expense ratio?" Lock in a pre-approval with your target price range (\$600K–\$700K).

2 Get Real Insurance Quotes — Before Any Offer

Contact 2–3 Florida coastal insurance brokers. Get quotes for a hypothetical 3BR/4BR SFH at \$665K in Cocoa Beach including: HO wind/hurricane, NFIP flood (standard + preferred rate zones), and STR endorsement or separate landlord policy. This number alone determines which lane is viable for you.

3 Engage Local STR-Specialist Agent

Find a Cocoa Beach agent with demonstrated STR investor experience (ask: "How many STR investor clients have you closed in the past 12 months? Can you verify zoning eligibility as part of our deal process?"). Agent should have Brevard MLS access and relationships with estate sale/off-market sources. Recommended search: Merritt Island/ Cocoa Beach Homes, Sand Dollar Realty Brevard.

4 AirDNA / Rabbu Market Data — Run Comps on Target Addresses

Get AirDNA MarketMinder access (or use Rabbu free tier) to pull actual revenue data for active listings within 0.5 miles of any property you're evaluating. Look for: trailing 12-month gross revenue, occupancy rate, and ADR for 3BR and 4BR comparable active listings. This validates (or invalidates) any pro forma.

5 Zoning Verification Protocol on Every Property

Before submitting any offer: call Cocoa Beach Planning (321) 868-3238 and request written zoning verification. Confirm: (a) zoning district, (b) is transient/vacation rental a permitted use, (c) any overlay or conditional use requirements. Make this a contingency in your purchase contract. Budget 3–5 business days for written response.

6 Book CPA Consultation — Confirm OBBBA Strategy

Before closing: engage a CPA specializing in STR/real estate. Confirm: (a) whether you qualify for real estate professional status or STR exception, (b) cost segregation study scope and cost, (c) how bonus depreciation interacts with your full 2026 income picture. The \$35K+ Year-1 tax savings assumes proper qualification — do not assume without professional confirmation.

7**Visit Cocoa Beach — Walk Launch Viewing Sites**

In-person market visit before committing. Walk the A1A corridor from Patrick SFB south to downtown Cocoa Beach. Identify which blocks are actively operating STRs (check Airbnb map view). Walk Surfside neighborhood for canal homes. Stand on the beach at night during a launch window to experience the demand driver firsthand. Check real-time Airbnb pricing for comparable units during your visit dates.

BULLISH FACTORS

- Space launch economy structurally expanding: 109 launches (2025) → 120+ (2026) → indefinite ramp
- SFH supply severely constrained on barrier island — SFH +27% YoY appreciation is supply-driven, not speculative
- Port Canaveral cruise passenger record in 2025 creating pre/post-cruise STR demand
- 2027 mega-development (5,000 rooms, wave pool, conference center) will re-price the entire market
- SpaceX Starship commercial operations ramp creates multi-year tourism demand visibility
- Florida continues to absorb domestic migration; space economy attracting high-income workers to Brevard
- OBBBA bonus depreciation now permanent — STR tax efficiency is locked in indefinitely
- Condo market correction (-7.4%) creating rare window to capture SFH appreciation with less competition

RISK FACTORS

- Hurricane risk — Brevard is exposed; full-season reserve requirement (4–5 months of debt service) is non-negotiable
- Insurance market instability — Florida carriers continue to exit/re-enter; premium volatility is real
- Cape Canaveral supply explosion may indicate broader STR supply risk if city relaxes zoning further
- Median SFH at \$815K–\$874K — your \$500K–\$750K budget limits you to specific property types or locations
- DSCR lending tightening — some lenders now requiring 1.35+ DSCR vs. 1.25 previously
- Launch schedule delays (weather, technical) can deflate launch-date demand spikes
- Florida SB 4-D enforcement ongoing — surprise special assessments on condo-conversion target properties
- Oct hotel bookings "off significantly" per Sept 2025 data — watch 2026 forward booking trends

HOW THIS MARKET COMPARES — FULL SCOUT SERIES SCORECARD

MARKET	SCORE	TIER	AVG STR REVENUE	SFH APPRECIATION	INSURANCE RISK	REGULATORY RISK	TOTAL RETURN TH
 Cocoa Beach, FL	7.32	C+ High	\$63K (avg) / \$105K+ (4BR TQ)	+27% YoY ✓✓	High (coastal)	Zoning-critical	St of m On ap
Gulf Shores, AL	6.73	C Selective	\$100K–\$165K (5BR)	+2–4% YoY	Very High (coastal)	Zone complex	Cl lin ap
Mansfield, TX	N/A (scouted)	N/A	N/A (LTR/MTR market)	Moderate	Low	Low	Cl ap pr

Verdict: Cocoa Beach scores highest in this scout series, primarily driven by the exceptional SFH appreciation story and the space economy tailwind. Gulf Shores wins on raw revenue potential for larger configurations but lacks the appreciation driver. Cocoa Beach is the right market for a Total Return thesis at your tax bracket and investment horizon.

Important Disclosures: This market scout report is prepared for informational and investor education purposes only. All revenue projections, financial models, appreciation estimates, and market data are based on publicly available sources including AirDNA, AirROI, Rabbu, Airbtics, Redfin, Zillow, Visit Space Coast, and Brevard County public records as of June 2026. Actual results will vary based on property condition, location, guest experience ratings, management execution, insurance costs, regulatory changes, market conditions, and economic factors beyond our control. This is not financial, legal, or tax advice. Consult a licensed real estate agent, CPA, and attorney before making any investment decision. STR regulations change frequently — verify current regulations directly with Cocoa Beach Planning & Development at (321) 868-3238 before any purchase. Insurance costs must be individually quoted — do not rely on any estimate in this report for underwriting purposes.

Sources: AirROI (airroi.com) · Rabbu (rabbu.com) · Airbtics (airbtics.com) · AirDNA (airdna.co) · Redfin (redfin.com) · Zillow (zillow.com) · Visit Space Coast (visitspacecoast.com) · PR Newswire Space Coast 2026 · Brevard County Tax Collector · Florida Sales Tax Blog · Clovered Insurance · GreatFlorida Insurance · NerdWallet · DSCR Finder · Griffin Funding · Kahnlitwin OBBBA · City of Cocoa Beach Municode · BNBCalc · Homes.com · Travel and Tour World.

COCOA BEACH, FL — STR MARKET SCOUT REPORT

Prepared for Gene Lawhun · Build STR Wealth · June 2026

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Market Score: 7.32/10 · Tier C+ High Opportunity · Sub-Market Winner: Cocoa Beach Beachside East of A1A · Primary Lane: 4BR/3BA Pool Home \$620K–\$700K · Target Execution Net CF: \$14K–\$32K · Y1 Total Return: \$104K–\$142K · On \$167K Deployed: 78–106%